



Our ref: IM-72642

23 Marcus Clarke Street
Canberra ACT 2601

GPO Box 3131
Canberra ACT 2601

12 August 2024

tel: (02) 6243 1368

mergers@accc.gov.au

www.accc.gov.au

Dear Interested Party

Re: ACCC seeking your views: Cleanaway's proposed acquisition of Citywide Waste

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on the proposed acquisition of Citywide Service Solutions Pty Ltd's waste and recycling business (**Citywide Waste**) by Cleanaway Waste Management Ltd (**Cleanaway**) (the **Proposed Acquisition**).

Cleanaway is a provider of recycling, waste management and industrial services in Australia. Citywide Waste is a provider of waste management services in Melbourne. Further details are provided at **Attachment A**.

The ACCC's investigation is focused on the impact that the Proposed Acquisition would have on competition in Melbourne.

In particular, we are seeking your views on whether the Proposed Acquisition would be likely to:

- remove Citywide Waste's Dynon Road facility as a competing transfer station to Cleanaway in Melbourne and reduce options for waste disposal customers
- increase Cleanaway's degree of vertical integration and impact competition in waste collection and/or disposal in Melbourne, and
- reduce competition for waste management services to municipal and/or commercial and industrial customers in Melbourne.

Further issues you may wish to address are set out in **Attachment B**.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the Proposed Acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by **26 August 2024** via email with the title: *Submission re: Cleanaway / Citywide Waste*. If you require more time to respond, please let us know.

If you would like to arrange a time to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at [ACCC mergers register](#).

Confidentiality of submissions

The ACCC treats sensitive information it receives during a merger review as confidential, and will not publish your submission. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the Competition and Consumer Act 2010. Where the ACCC is required to disclose confidential information, we will notify you in advance where possible so that you have an opportunity to be heard. Therefore please clearly indicate if any information you provide is confidential.

Our [Informal Merger Review Process Guidelines](#) contain more information on confidentiality.

Yours sincerely

A handwritten signature in blue ink, appearing to read 'Morag Bond', is positioned above the typed name.

Morag Bond
General Manager
Merger Investigations

Attachment A – Overview of the merger parties and the Proposed Acquisition

Cleanaway

Cleanaway is an ASX-listed company (ASX:CWY) that provides recycling, waste management and industrial services in Australia. This includes the supply of waste management services to municipal councils, and commercial and industrial customers. Cleanaway owns and/or operates a number of waste disposal and processing facilities in Melbourne:

- **Transfer stations:** Altona, Brooklyn, Clayton South, Hallam, Lysterfield and South East Melbourne
- **Material recovery facilities:** Coolaroo, Laverton
- **Organics processing facility:** South East Organics Facility at Dandenong South
- **Landfill:** Melbourne Regional Landfill at Ravenhall.

Citywide Waste

Citywide Waste provides waste management services in Melbourne. It is currently fully owned by the Melbourne City Council and provides waste management services to municipal councils, and commercial and industrial customers.

Citywide Waste operates a transfer station located at 391-395 Dynon Road in West Melbourne which processes and transfers municipal and commercial and industrial waste, including putrescible and inert, from Citywide Waste and other waste management providers.

Areas of overlap

The parties overlap in Melbourne in the supply of:

- waste disposal
- waste management services to municipal customers, and
- waste collections to commercial and industrial customers

The Proposed Acquisition

Cleanaway proposes to acquire Citywide Waste, including its existing contracts and employees, and a lease to operate the Dynon Road facility.

Attachment B – List of questions

1. Please provide a brief description of your business or organisation.
2. Outline the reasons for your interest in the Proposed Acquisition, including any commercial relationship/s with Cleanaway and/or Citywide Waste. If applicable, please identify the service(s) that you supply to, acquire from, or compete with Cleanaway and/or Citywide Waste to provide.

Disposal facilities

3. Please describe how closely Citywide Waste's Dynon Road facility and Cleanaway's existing transfer stations and landfill facilities in Melbourne compete.
4. Please identify and describe the alternative waste disposal facilities in Melbourne, including with reference to factors such as the types of waste accepted, location, cost, capacity and how closely they compete with Citywide Waste's Dynon Road facility.
5. If you are a customer of Citywide Waste's Dynon Road facility, outline the factors including cost, distance and transportation time, involved in using alternative transfer stations and/or landfills in Melbourne.
6. Please outline the process, cost and time involved in establishing a new waste disposal facility (e.g. transfer station, landfill, energy from waste facility or other waste disposal alternative) in Melbourne, including the regulatory requirements such as licences and environmental approvals.
7. Please identify whether there have been any new waste disposal facilities established in Melbourne recently, and any new proposed waste disposal facilities.
8. To what extent could Cleanaway's ownership of the Dynon Road facility impact pricing and/or service quality for competing waste collection businesses?

Municipal contracts

Questions for customers

9. Please outline the extent to which Citywide Waste competes with Cleanaway in tenders for waste management services to municipal councils in Melbourne.
10. Please identify the main competitors to Cleanaway and/or Citywide Waste in tenders for waste management services to municipal councils in Melbourne.
11. Please outline the key factors that are considered by municipal councils when awarding waste management contracts.
12. Please identify whether supplying your own waste management services is an option for your council. Why/why not?

Questions for competitors

13. Please identify the main competitors to Cleanaway and/or Citywide Waste in tenders for waste management services to municipal councils in Melbourne.
14. Please outline the process involved in tendering for municipal contracts, including the regulatory requirements such as licences, importance of scale and any upfront investment required to win contracts.
15. Please identify any barriers to entering or expanding as a supplier of waste management services to municipal councils in Melbourne.
16. Please describe the significance of ownership and/or access to disposal facilities when competing for municipal contracts.

Commercial and industrial collections

Questions for customers

17. Please outline the extent to which Citywide Waste competes with Cleanaway in the supply of waste collection services to commercial and industrial customers in Melbourne.
18. Please identify the key suppliers that compete with Cleanaway and/or Citywide Waste in the supply of waste collection services to commercial and industrial customers in Melbourne.
19. Please identify the extent to which customers are willing and able to switch between waste collection services in response to a price increase and/or decrease in service levels.

Questions for competitors

20. Please indicate the types of waste collection vehicles in your fleet and the approximate number of each type of vehicle.
21. Please outline the process, cost and time involved in establishing a new commercial and industrial collections business, or expansion of an existing collections business in Melbourne, including the regulatory requirements such as licences and the importance of scale.
22. Please describe the significance of ownership and/or access to disposal facilities when competing for commercial and industrial customers.

Additional information

23. Please provide any additional information or comments that you consider relevant to the ACCC's consideration of the Proposed Acquisition.